5. See http://www.berkshirehathaway.com/letters/1988.html.
6. The Federal Reserve Bank of New York organized a $3.62 billion bailout of LTCM in order to avoid a collapse of Wall Street. In his book *When Genius Failed*, Lowenstein (2000) tells the interesting story of the dramatic rise and fall of LTCM, which had two Nobel laureates on its board.
7. See C. Munger, "A Lesson on Elementary Worldly Wisdom as It Relates to Investment Management and Business," Lecture at the University of Southern California, Marshall School of Business, 1994.
8. See D. Sutton, "The Berkshire Bunch," *Fortune*, October 1998.
9. Speech at the Boston Security Analysts Society, November 15, 2005.
10. See Fama and French (2008).

CHAPTER 2

1. See O'Neil (2009), p. 174.
2. See Covel (2007), *The Complete Turtle Trader: How 23 Novice Investors Became Overnight Millionaires*.
3. See Schwager (2012), pp. 151–152.
4. See "The Whipsaw Song," https://www.youtube.com/watch?v=O0yZG6eoahU.
5. See Fama and French (1988), Lo and MacKinlay (1988), and Jegadeesh (1990).
6. For U.S. equities, see Fama and French (2008); for developed markets, Rouwenhorst (1998), Chan, Hameed, and Tong (2000), and Griffen, Ji, and Martin (2005); for emerging markets, Rouwenhorst (1999); for industries, Moskowitz and Grinblatt (1999) and Asness, Porter, and Stevens (2000); for equity indexes, Asness, Liew, and Stevens (1997); for global government bonds, Asness, Moskowitz, and Pedersen (2013); for corporate bonds, Jostova et al. (2013); for commodities, Pirrong (2005) and Miffre and Rallis (2007); for